INVEST & PROSPER
MUTUAL FUND DISTRIBUTION HOUSE

# Nifty @19500 …What to expect & Way Forward
# ( July 2023 )

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# 2 Major Wall of Worries

Markets at All time high @19500 – confusion whether to add or exit

2024 Elections -Whether BJP will return to power or not

# Let’s Analyse Marco Data since Oct’21 till July’23

# How Indian & Global Markets have performed

| RANGE | 28-Oct-21 | 12.Dec.22 | 12.July.23 | Change in % 28-Oct-2021 to 12.july.2023 | Change in % 12-Dec-2022 to 12.july.2023 | Impact Analysis |
|---|---|---|---|---|---|---|
| SENSEX | 59306 | 62130 | 63394 | 6.89% | 2% | Stable |
| Nifty Index | 18190 | 18497 | 19384 | 6.56% | 5% | Rising |
| PE | 27.31 | 22.23 | 22.5 | -17.61% | . | Positive as Current PE is not expansive |
| 10 YEAR GSEC -YIELD | 6.42 | 7.276 | 7.12 | 10.90% | -2% | Stable |
| INFLATION | 4.48 | 5.88 | 4.8 | 7.14% | -18% | Under Control |
| GST COLLECTION ( In Crs.) | 130172 | 151718 | 161497 | 24.06% | 6% | Rising |
| FD RATE | 4.7 | 7 | 7.1 | 51.06% | 1% | Stable |
| DOLLAR | 74.9286 | 82.64 | 82.15 | 9.64% | -1% | Stable |
| NASDAQ | 15498 | 11004 | 14138.57 | -8.77% | 28% | Recovering |
| DOW JONES | 35819 | 33476 | 34395 | -3.98% | 3% | Stable |
| HANG SENG | 25377 | 19464 | 19350 | -23.75% | -1% | Stable |
| US INFLATION | 5.3 | 7.7 | 2.97 | -43.96% | -61% | Getting Under control |
| FOREX RESERVE (BILLION) | 637 | 544 | 589.1 | -7.52% | 8% | Very Positive |
| CY FII OUTFLOW/ INFLOW ( in Crs) | -92729.52 | -278429.52 | 27032.09 | -371159 | -371159 | More FIIs flow expected |
| CY DII INFLOW ( in Crs) | 94574.91 | 276698.72 | 77185.86 | 371274 | 448459 | DIIs support is rock solid |
| SILVER | 62572 | 55100 | 77000 | 23.06% | 40% | Rising |
| GOLD | 48720 | 52670 | 58250 | 19.56% | 11% | Stable |
| FII INDIAN CO. ONWERSHIP | 21 | 18 | 17 | -19.05% | -6% | Positive -Scope to Increase |
| CREDIT GROWTH | 7 | 17.9 | 19.4 | 177.14% | 8% | Very Positive |
| INDIAN WEIGHT IN MSEI | 11 | 15 | 18.76 | 70.55% | 25% | Very Positive |
| CRUDE OIL | 59 | 111 | 75 | 27.12% | -32% | Stable Oil is Huge Relief |
| BALANCE OF TRADE | 19.73 | 26.91 | 22.12 | 12.11% | -18% | Positive due to Stable Oil & Dollar |

# International Data

| | 28-Oct-21 | 12.Dec.22 | 12.July.23 | Change in % 28-oct-2021 to 12.july.2023 | Change in % 12-Dec-2022 to 12.july.2023 |
|---|---|---|---|---|---|
| NASDAQ | 15498.39 | 11004 | 14138 | -8.78% | 28% |
| DOW JONES | 35819.56 | 33476 | 34395 | -3.98% | 3% |
| HANG SENG | 25377 | 19464 | 19350 | -23.75% | -1% |
| NIKKEI | 29204 | 27842 | 31928 | 9.33% | 15% |
| FTSE | 7203 | 7462 | 7421 | 3.03% | -1% |
| DOW JONES | 35258 | 33476 | 34357 | -2.56% | 3% |
| US INFLATION | 5.3 | 7.7 | 2.97 | -43.96% | -61% |
| US GSEC | 1.56 | 3.61 | 3.81 | 144.23% | 6% |
| INTERNATIONAL GAS PRICE | 3.4 | 3.9 | 2.56 | -24.71% | -34% |
| AMAZON | 168.62 | 89.09 | 134.3 | -20.35% | 51% |
| TESLA | 371.33 | 179.05 | 277.9 | -25.16% | 55% |
| FACEBOOK | 341.13 | 114.71 | 313.41 | -8.13% | 173% |

# How our Various Sectoral Indices

| | 28-Oct-21 | 12.Dec.22 | 12.July.23 | Change in % 28-oct-2021 to 12.july.2023 | Change in % 12-Dec-2022 to 12.july.2023 |
|---|---|---|---|---|---|
| NSE PHARMA | 14384 | 12758 | 13936 | -3.11% | 9% |
| NSE BANK & PSU | 2718 | 4358 | 4462 | 64.16% | 2% |
| NIFTY BANK | 39540 | 43708 | 44639 | 12.90% | 2% |
| NIFTY IT | 37106 | 29050 | 28784 | -22.43% | -1% |
| NSE COMMODITY | 6047 | 6092 | 6127 | 1.32% | 1% |
| NSE PSE | 4341 | 4465 | 5211 | 20.04% | 17% |
| NSE REALTY | 516 | 449 | 528 | 2.33% | 18% |
| AUTO | 11626 | 12874 | 15614 | 34.30% | 21% |

# Nifty @19500 What Investor Should look at before taking any decision to either add or exit

1. Price to Earning Ratio (P/E Ratio)

2. Corporate Profitability – Nifty Earning Projection & Estimates 2023 - 2027

3. Reforms undertaken by Govt.

India Marco standing i.e Crude Oil, Interest Rate, Inflation , CAD, Balance of Payment etc.

FIIs / DIIs Behaviour, India's MSCI EM weight & way forward

# HIGH PRICE, HIGHER VALUE:

## WHY SENSEX AT 67,000 IS CHEAPER THAN SENSEX AT 58,000

| Year | Sensex | Trailing 12 month PE | | BSE MidCap | Trailing 12 month PE | | BSE SmallCap | Trailing 12 month PE |
|---|---|---|---|---|---|---|---|---|
| Jul-23 | 66,795.14 | 24.73 | | 29,423.02 | 25.25 | | 33,828.59 | 26.65 |
| Jun-23 | 64,718.56 | 23.33 | | 28,776.20 | 24.19 | | 32,602.14 | 25.71 |
| May-23 | 62,622.24 | 23.48 | | 27,100.05 | 23.21 | | 30,524.82 | 23.72 |
| Apr-23 | 61,112.44 | 22.6 | | 25,492.43 | 22.6 | | 28,917.07 | 23.35 |
| Mar-23 | 58,991.52 | 22.21 | | 24,065.59 | 23.42 | | 26,957.01 | 22.27 |
| Feb-23 | 58,962.12 | 22.84 | | 24,157.96 | 24.76 | | 27,341.14 | 22.71 |
| Jan-23 | 59,549.90 | 23.28 | | 24,642.73 | 26.2 | | 28,205.89 | 23.62 |
| Dec-22 | 60,840.74 | 23.62 | | 25,314.50 | 26.88 | | 28,926.79 | 24.32 |
| Nov-22 | 63,099.65 | 23.34 | | 25,950.89 | 26.39 | | 29,519.61 | 25.47 |
| Oct-22 | 60,746.59 | 22.44 | | 25,359.02 | 25.28 | | 28,817.59 | 26.05 |
| Sep-22 | 57,426.92 | 22.76 | | 24,853.94 | 23.57 | | 28,452.91 | 30.12 |
| Aug-22 | 59,537.07 | 22.89 | | 25,408.49 | 21.17 | | 28,650.88 | 33.01 |
| Jul-22 | 57,570.25 | 22.04 | | 24,050.90 | 21.29 | | 27,056.38 | 35.02 |
| Jun-22 | 53,018.94 | 21.79 | | 21,713.24 | 20.44 | | 24,786.42 | 33.91 |
| May-22 | 55,566.41 | 22.45 | | 23,143.82 | 21.39 | | 26,370.81 | 34.85 |
| Apr-22 | 57,060.87 | 25.4 | | 24,418.04 | 24.97 | | 28,611.92 | 39.78 |
| Mar-22 | 58,568.51 | 24.82 | | 24,107.97 | 23.52 | | 28,215.65 | 37.25 |
| Feb-22 | 56,247.28 | 25.75 | | 23,355.61 | 24.26 | | 26,662.33 | 39.78 |
| Jan-22 | 58,014.17 | 28.17 | | 24,613.01 | 27.24 | | 29,226.73 | 46.7 |

*Source BSE*

moneycontrol

# Nifty PE Chart Express that Markets is not in Expensive Zone

| Nifty PE Chart Ratio | | | | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|
| Year | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | Nov | Dec |
| 2000 | 26.16 | 27.12 | 25.69 | 22.81 | 20.33 | 23.68 | 22.33 | 20.53 | 20.84 | 18.22 | 18.77 | 19.59 |
| 2001 | 20.75 | 21.32 | 18.2 | 16.08 | 15.74 | 15.37 | 15.32 | 15.23 | 13.65 | 13.76 | 14.86 | 15.59 |
| 2002 | 16.42 | 18.32 | 18.59 | 18.02 | 17.44 | 16.28 | 15.39 | 14.54 | 14.69 | 14.25 | 14.55 | 14.57 |
| 2003 | 14.56 | 14.32 | 13.85 | 13.2 | 11.15 | 12.2 | 12.5 | 13.89 | 15.09 | 16.6 | 17.42 | 19.19 |
| 2004 | 21.02 | 20.32 | 20.78 | 19.91 | 14.86 | 12.18 | 13.08 | 13.5 | 14.14 | 15 | 15.67 | 16.04 |
| 2005 | 14.41 | 14.4 | 14.98 | 14.16 | 13.77 | 14.01 | 14.31 | 14.61 | 15.58 | 15.26 | 15.47 | 16.72 |
| 2006 | 17.27 | 17.97 | 19.25 | 20.59 | 19.53 | 16.65 | 17.95 | 18.55 | 20.09 | 20.92 | 20.72 | 20.95 |
| 2007 | 21.24 | 19.64 | 17.95 | 19.28 | 19.74 | 20.08 | 21.3 | 19.47 | 21.05 | 24.59 | 25.15 | 26.55 |
| 2008 | 25.33 | 22.19 | 20.58 | 21.26 | 21.46 | 19.04 | 17.56 | 18.63 | 17.98 | 13.77 | 12.42 | 12.69 |
| 2009 | 12.73 | 13.38 | 13.3 | 15.89 | 18.67 | 20.16 | 19.83 | 20.5 | 21.86 | 22.34 | 21.91 | 22.7 |
| 2010 | 22.84 | 20.72 | 22.03 | 22.76 | 21.2 | 21.73 | 22.42 | 22.95 | 24.51 | 25.23 | 24.39 | 23.82 |
| 2011 | 22.84 | 20.67 | 21.16 | 22.02 | 20.37 | 20.2 | 20.49 | 18.29 | 18.11 | 18.15 | 18.11 | 17.32 |
| 2012 | 17.71 | 19.09 | 18.74 | 18.46 | 16.97 | 16.89 | 17.22 | 17.67 | 18.42 | 18.95 | 18.14 | 18.63 |
| 2013 | 18.87 | 18.26 | 17.89 | 17.4 | 18.13 | 17.49 | 17.88 | 16.12 | 16.83 | 17.72 | 17.8 | 18.56 |
| 2014 | 18.29 | 17.37 | 18.33 | 18.99 | 19.62 | 20.57 | 20.66 | 20.42 | 21.2 | 20.65 | 21.5 | 21.23 |
| 2015 | 21.73 | 23.09 | 23.21 | 22.88 | 22.4 | 22.7 | 23.49 | 22.99 | 21.69 | 22.48 | 21.36 | 21.1 |
| 2016 | 20.34 | 19.34 | 20.39 | 21.29 | 21.51 | 22.52 | 23.33 | 23.65 | 24.08 | 23.35 | 21.99 | 21.49 |
| 2017 | 22.44 | 23.23 | 23.47 | 23.37 | 24.25 | 24.31 | 25.1 | 25.37 | 25.99 | 26.26 | 26.35 | 26.42 |
| 2018 | 27.24 | 25.61 | 24.97 | 26 | 26.58 | 26.77 | 27.19 | 28.22 | 27.46 | 25.05 | 25.59 | 26.07 |
| 2019 | 26.08 | 26.66 | 27.76 | 29.12 | 28.88 | 29.25 | 28.28 | 27.12 | 26.93 | 26.51 | 27.67 | 28.18 |
| 2020 | 27.96 | 26.92 | 21.38 | 20.38 | 21.24 | 24.7 | 28.6 | 31.59 | 32.55 | 33.99 | 34.34 | 37.26 |
| 2021 | 38.9 | 40.8 | 40.43 | 32.73 | 29.27 | 29.08 | 28.11 | 26.11 | 26.54 | 27.31 | 23.43 | 23.69 |
| 2022 | 23.42 | 22.21 | 21.7 | 22.7 | 20.32 | 19.43 | 20.73 | 21.2 | 20.64 | 20.9 | 21.9 | 22.43 |
| 2023 | 21.49 | 20.89 | 20.29 | 20.7 | 21.56 | 21.8 | 24 | | | | | |

Value/ Investing Zone

Fair / Hold Zone

Cautious / Sell Zone

# Sectoral Valuation

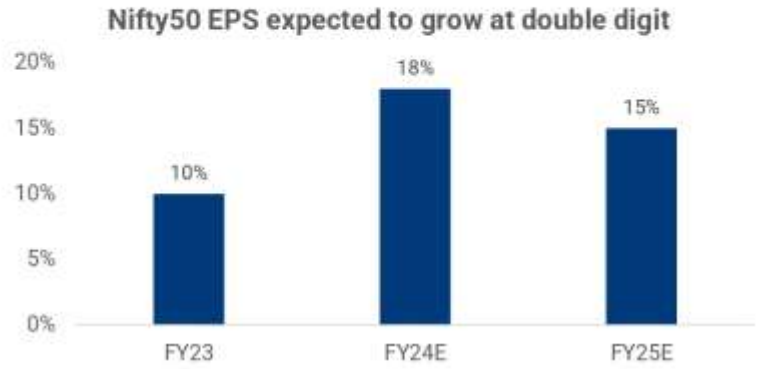
EDELWEISS MUTUAL FUND

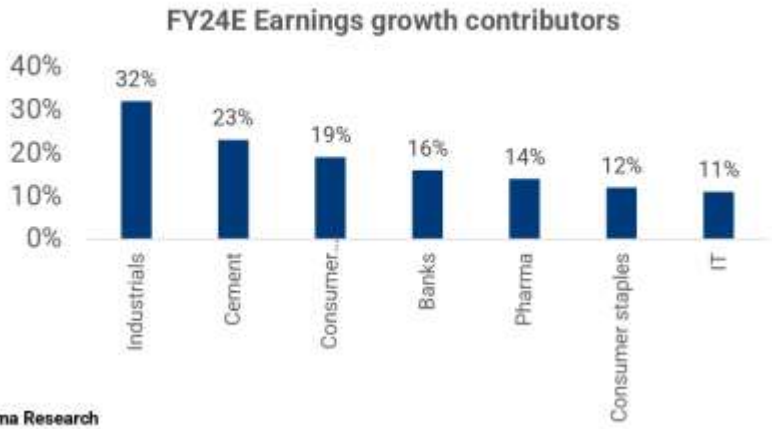
| Sector | Current Forward P/E | 10-year Average | Current Forward P/B | 10-year Average |
|---|---|---|---|---|
| Auto | 21.1 | 26.6 | 3.9 | 3.3 |
| Private Banks | 15.4 | 20.8 | 2.5 | 2.5 |
| PSU Banks | 6.4 | 10.4 | 1.0 | 0.6 |
| Consumers | 43.7 | 39.8 | 11.9 | 10.2 |
| Healthcare | 26.3 | 26.2 | 3.5 | 3.9 |
| Infrastructure | 15.8 | 9.0 | 1.5 | 1.1 |
| Metals | 9.6 | 11.1 | 1.5 | 1.2 |
| Oil & Gas | 10.8 | 12.2 | 1.4 | 1.4 |
| IT | 22.2 | 19.4 | 7.1 | 5.3 |
| Sp. Chemicals | 32.3 | 19.5 | 5.7 | 3.7 |

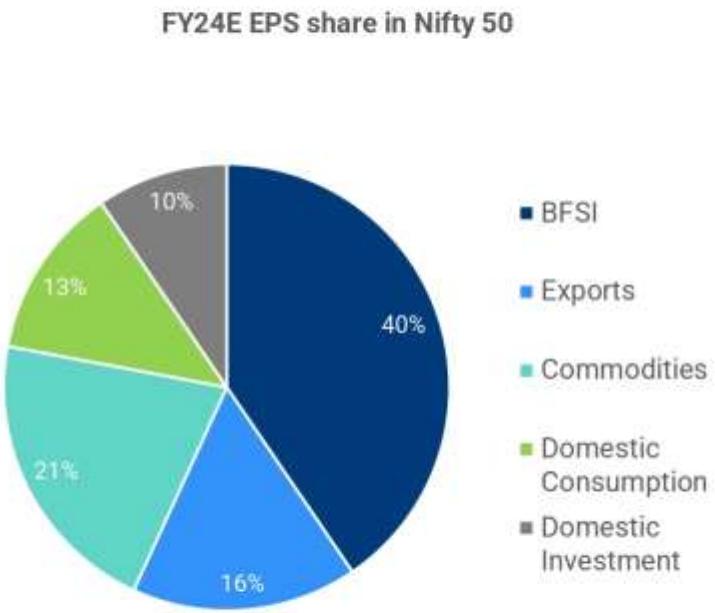
Source: Bloomberg | Data as on June 30, 2023

# Earnings Report – Strong growth expected in FY24

EDELWEISS MUTUAL FUND



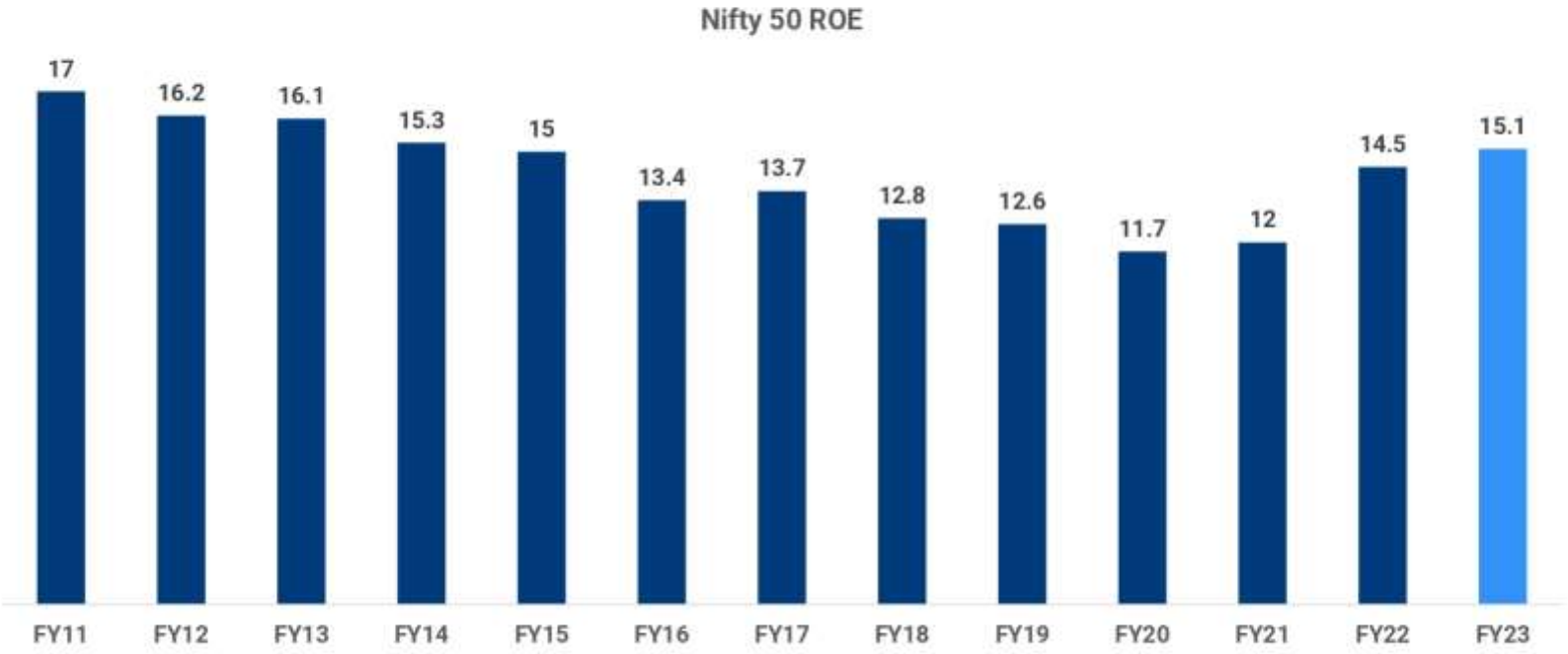




Source: Nuvama Research

# Return on Equity

EDELWEISS MUTUAL FUND

## ROE is gradually improving

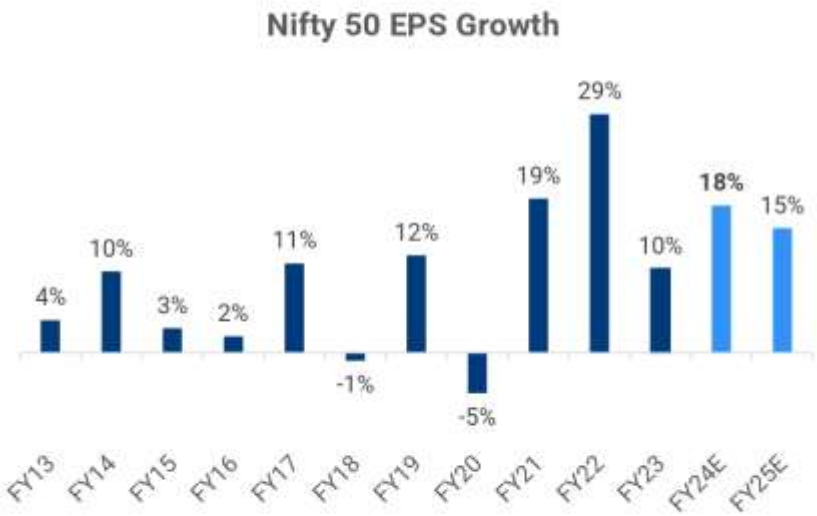


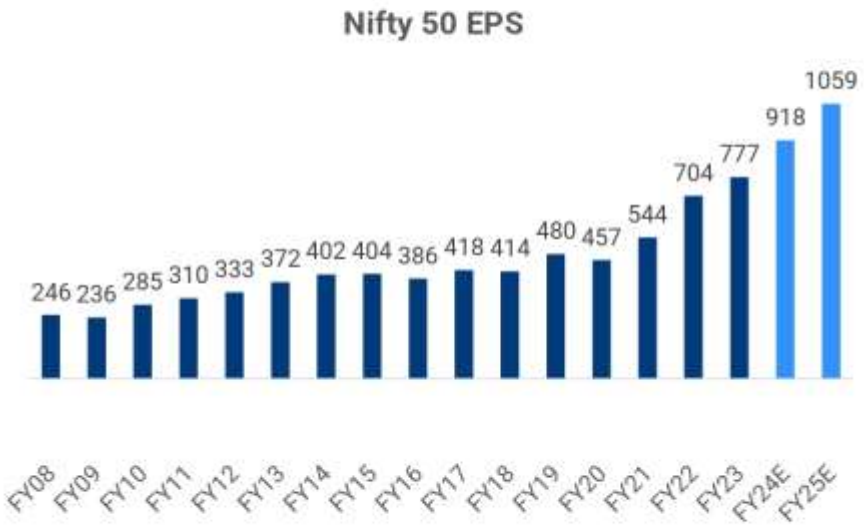

Source: Bloomberg and Motilal Oswal Research

# Earnings Growth

EDELWEISS MUTUAL FUND

## Nifty 50 EPS Growth – FY 24: expected to grow at healthy double digit




Source: Bloomberg estimates

# All-time highs are not unprecedented

EDELWEISS MUTUAL FUND

| Previous peaks | Absolute return (%) from previous peak till date |
|---|---|
| Jan'20 | 50% |
| Mar'15 | 107% |
| Jan'08 | 196% |
| May'06 | 395% |
| Dec'03 | 959% |

- Markets peaking is not the end. It lays the foundation for another peak.
- Time in the market is always better than timing the market

Past performance may or may not be sustained in future. Source: NSE

# Key Macro & Fundamentals Attributes and Why India is at sweet spot

# Key Macro Indicators

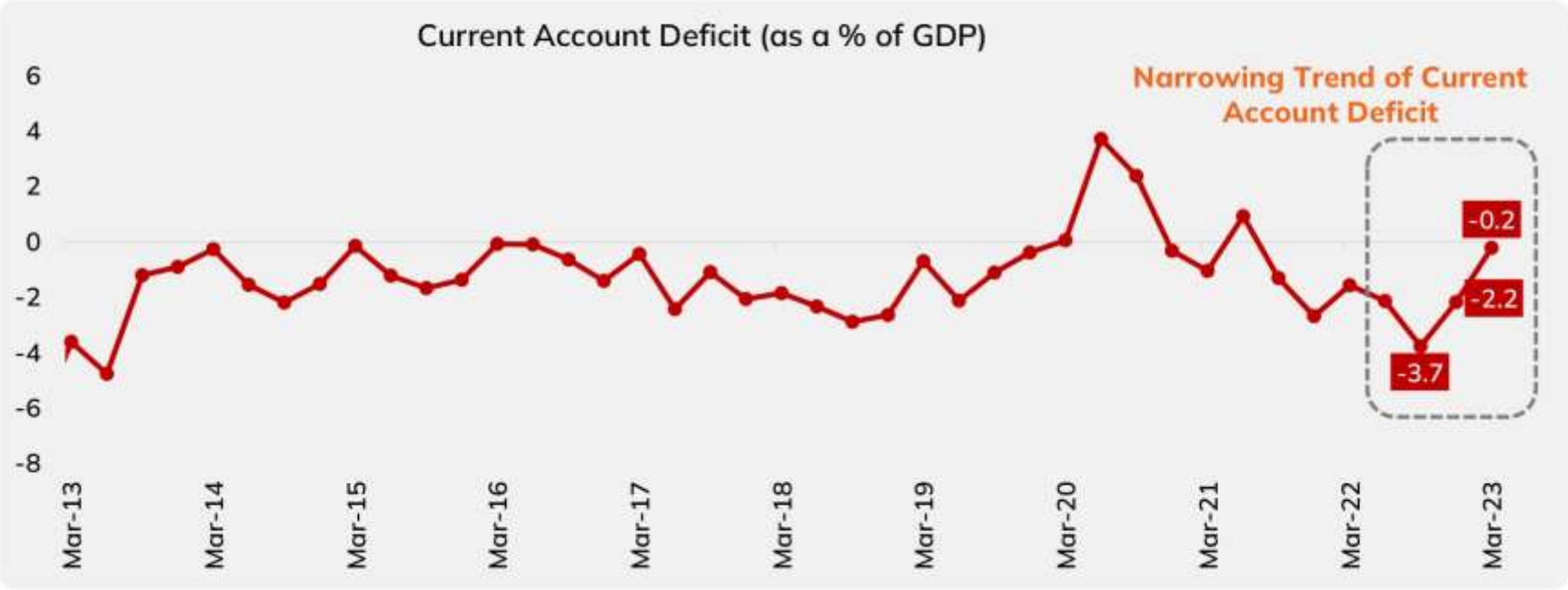
| Indicator | May-22 | Jun-22 | Jul-22 | Aug-22 | Sep-22 | Oct-22 | Nov-22 | Dec-22 | Jan-23 | Ïeb-23 | Maí-23 | Apí-23 | May-23 |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| CPI Inflation (YoY %) | 7.04 | 7 | 6.71 | 7 | 7.41 | 6.8 | 5.9 | 5.7 | 6.52 | 6.4 | 5.7 | 4.7 | 4.3 |
| Crude Indian Basket ($) | 109 | 116 | 106 | 98 | 90 | 91 | 87 | 78 | 80.7 | 82.4 | 78.3 | 83.5 | 75.1 |
| GST Collection (lkh Cís.) | 1.41 | 1.45 | 1.49 | 1.44 | 1.47 | 1.51 | 1.45 | 1.5 | 1.55 | 1.5 | 1.6 | 1.9 | 1.6 |
| FX Reserve ($ bn) | 601 | 593 | 574 | 561 | 537 | 531 | 550 | 562 | 576.8 | 560.9 | 578.4 | 588.8 | 589.1 |
| Trade Balance ($Bn) | -24 | -26 | -28 | -28 | -26 | -27 | -23 | -24 | -17.7 | -16.2 | -18.6 | -15.2 | -22.1 |
| CAD (% of GDP) | -1.52 | -2.8 | -2.8 | -2.8 | -4.4 | -4.4 | -4.4 | -4.4 | -4.4 | -2.2 | -2.2 | -2.2 | -2.2 |
| Bank Credit (Industry) | 8.1 | 9.5 | 10.5 | 11.4 | 12.6 | 13.6 | 13.1 | 8.7 | 8.7 | 7.1 | 5.7 | 7 | |
| Bank Credit (Seívices) | 12.9 | 12.82 | 16.5 | 17.2 | 20 | 22.5 | 21.3 | 21.3 | 21.5 | 20.7 | 19.8 | 21.6 | |
| Bank Credit (Retail) | 16.4 | 18.1 | 18.4 | 19.5 | 19.6 | 20.2 | 19.7 | 20.2 | 20.4 | 20.4 | 20.6 | 19.4 | |
| Manufacturing PMI | 54.6 | 53.9 | 56.4 | 56.2 | 55.1 | 55.3 | 55.7 | 57.8 | 55.4 | 55.3 | 56.4 | 57.2 | 58.7 |
| Services PMI | 58.9 | 59.2 | 55.5 | 57.2 | 54.3 | 55.1 | 56.4 | 58.5 | 57.2 | 59.4 | 57.8 | 62 | 61.2 |

**Data Souíce: RBI and Bloombeíg**

# Moderating Balance of Payments

ICICI PRUDENTIAL MUTUAL FUND

**Current Account Deficit (First Leg of Balance of Payment) narrowed due to dwindling trade deficit, robust services exports and strong remittances**

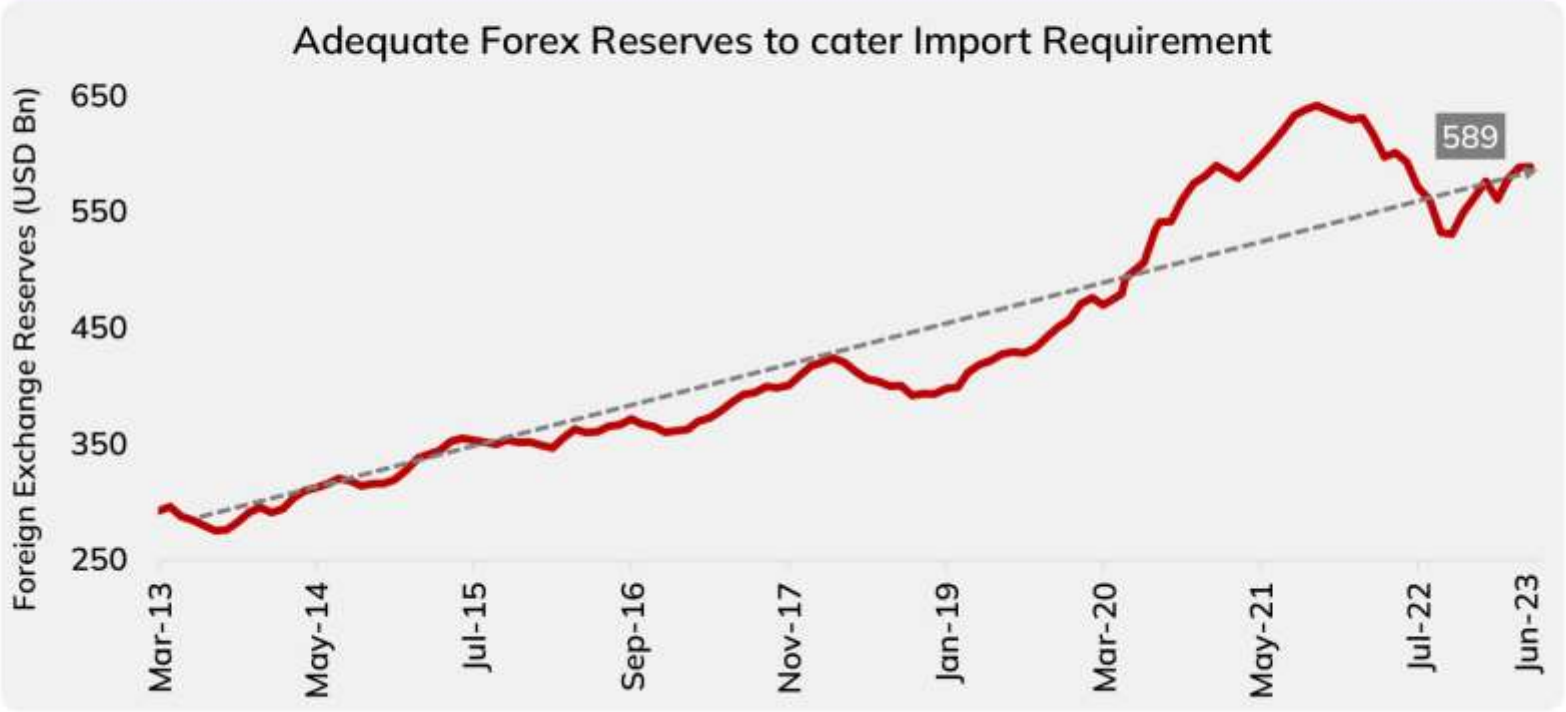



Data as on March 31,2023 is considered. Data Source: Equirus Research. GDP: Gross Domestic Product

# Adequate levels of forex reserves

ICICI PRUDENTIAL MUTUAL FUND

**Forex Reserves continue to remain healthy with an import cover of ~10 months**



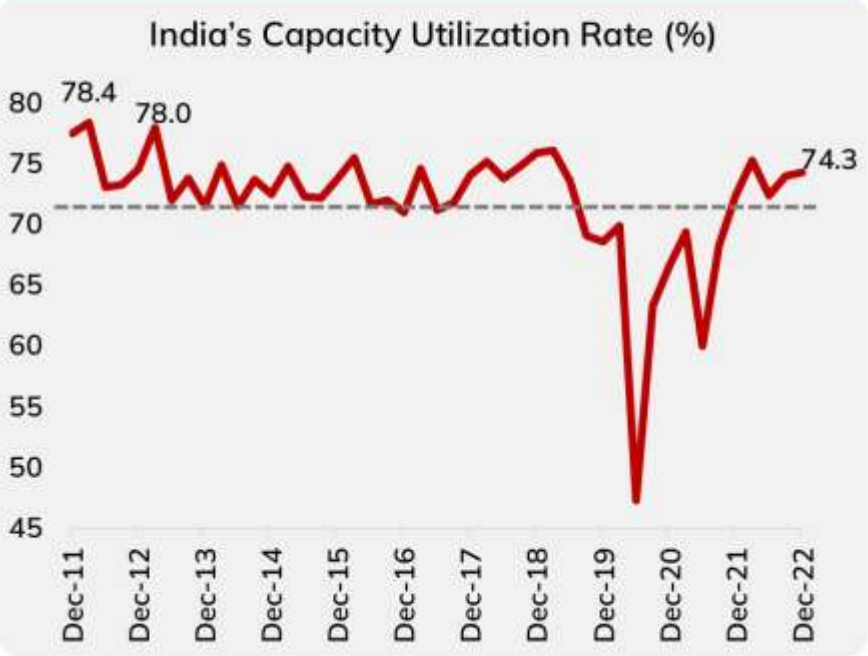

Data Source: Morgan Stanley. Data as on June 30,2023 is considered, forex: Foreign Exchange, Bn: billion

## Total capex announcement stood at Rs. 26tn in FY23 vs. Rs. 15tn in FY22

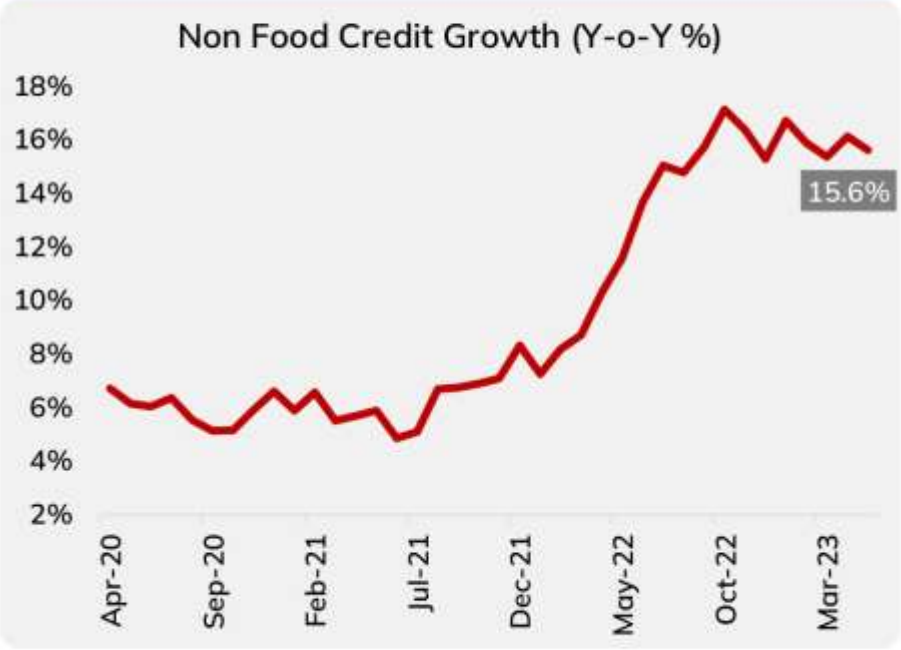
# Healthy Credit Growth

ICICI PRUDENTIAL MUTUAL FUND

**Manufacturing capacity sustained its positive momentum with further headroom for expansion**




**Headroom for increase in Capacity utilization paves way for sustained rise in credit growth**




Data Source: Morgan Stanley and Equirus Research.

# Robust Manufacturing Activity (PMI)

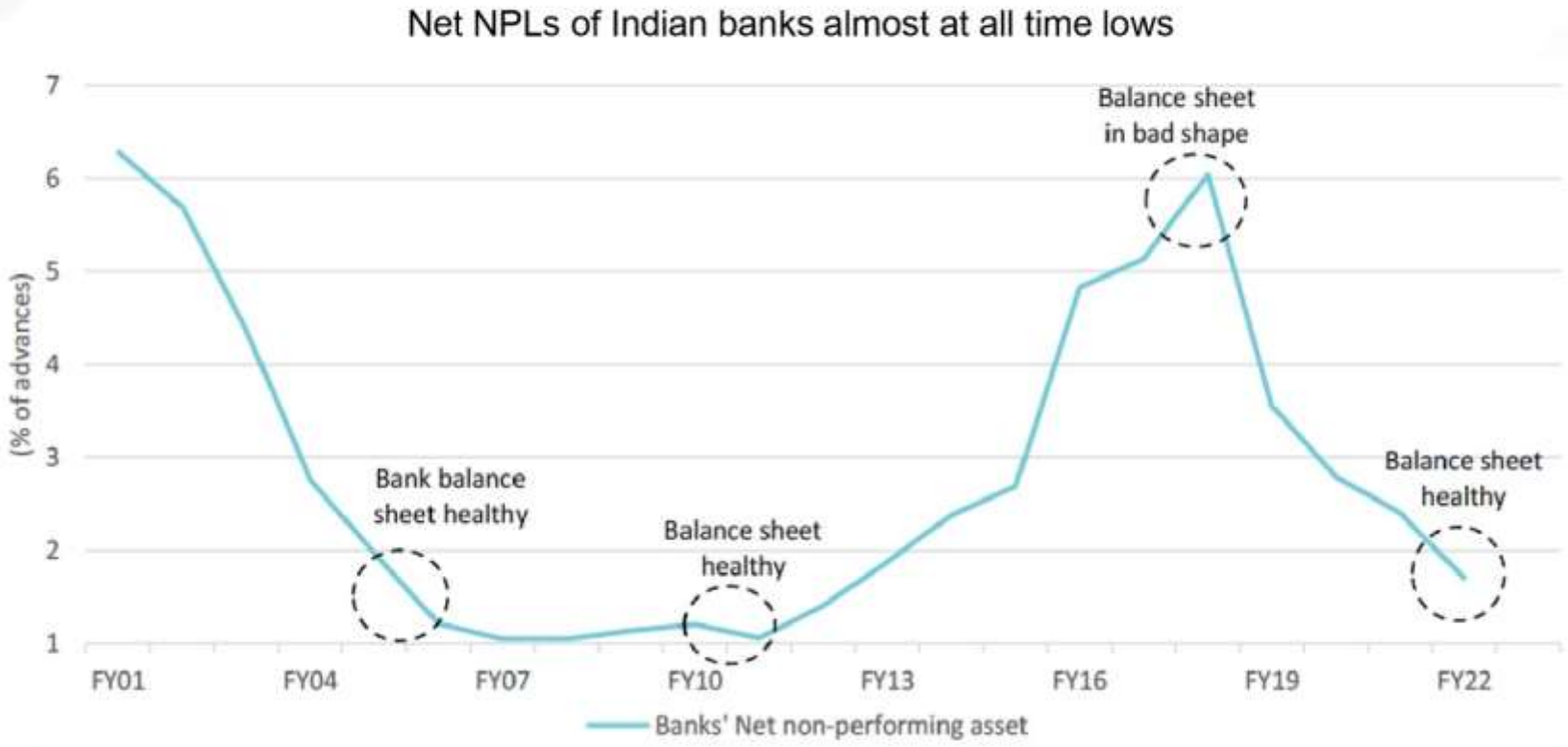
ICICI PRUDENTIAL MUTUAL FUND

**India is showing robust manufacturing activity compared to other major economies**

| Date | India | US | Eurozone | UK | China | Japan |
|---|---|---|---|---|---|---|
| May-22 | 54.6 | 57.0 | 54.6 | 54.6 | 48.1 | 53.3 |
| Jun-22 | 53.9 | 52.7 | 52.1 | 52.8 | 51.7 | 52.7 |
| Jul-22 | 56.4 | 52.2 | 49.8 | 52.1 | 50.4 | 52.1 |
| Aug-22 | 56.2 | 51.5 | 49.6 | 47.3 | 49.5 | 51.5 |
| Sep-22 | 55.1 | 52.0 | 48.4 | 48.2 | 48.1 | 50.8 |
| Oct-22 | 55.3 | 50.4 | 46.4 | 46.2 | 49.2 | 50.7 |
| Nov-22 | 55.7 | 47.7 | 47.1 | 46.5 | 49.4 | 49.0 |
| Dec-22 | 57.8 | 46.2 | 47.8 | 45.3 | 49.0 | 48.9 |
| Jan-23 | 55.4 | 46.9 | 48.8 | 47.0 | 49.2 | 48.5 |
| Feb-23 | 55.3 | 47.3 | 48.5 | 49.3 | 51.6 | 47.7 |
| Mar-23 | 56.4 | 49.2 | 47.3 | 47.9 | 50.0 | 49.2 |
| Apr-23 | 57.2 | 50.2 | 45.8 | 47.8 | 49.5 | 49.5 |
| May-23 | 58.7 | 48.4 | 44.8 | 47.1 | 50.9 | 50.6 |

Source – Axis Capital. PMI – Purchasing Managers Index, US – United States, UK – United Kingdom. PMI >50 indicates expansion and <50 indicates contraction. Readings above 50 are shown in green color and below 50 are shown in red color

# Bank Balance Sheets are Healthy



# Government Reforms

EDELWEISS MUTUAL FUND

## PLI

Financial incentives worth USD 26 Bn to promote domestic production in 14 sectors

## Tax Cut

Corporate tax reduced; amongst lowest globally
- For existing units - 22%
- For new units - 15%

## SemiCon

Incentives worth $10bn to develop semiconductors and display manufacturing ecosystem

## EoBD

79 positions jump in Ease of Doing Business Rank. 40,000+ compliances reduced

## Infra

$1.4 trillion spending plan in infrastructure in the next five years

## IBC

Insolvency and bankruptcy code to improve corporate insolvency resolution

- Increase in frequency of reforms post 2014.
- Continued engagement with key stakeholders leading to faster implementation and amendments
- These reforms are likely to generate macro dividends in coming years

Source: Bloomberg

# Tailwinds for India's Manufacturing

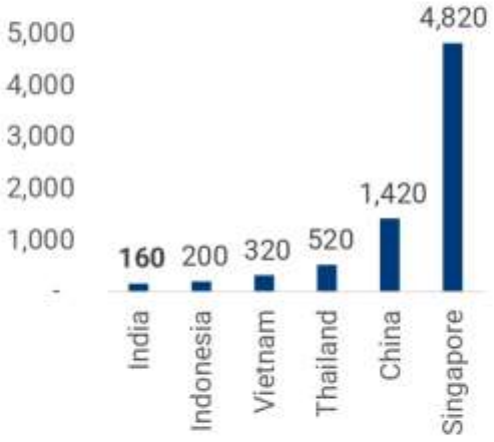
EDELWEISS MUTUAL FUND

## Govt Incentives

- Govt. is spurring mfg. growth via Production Linked Incentive policy.
- The policy aims to create national mfg. champions with 60 lakh jobs and productions worth ~$375Bn over the next 5 years.

## India's Low Labor Cost

**Manufacturing wages ($/month)**




## Capex Recovery Cycle

**Pvt. sector capex breakdown (Rs Tn)**

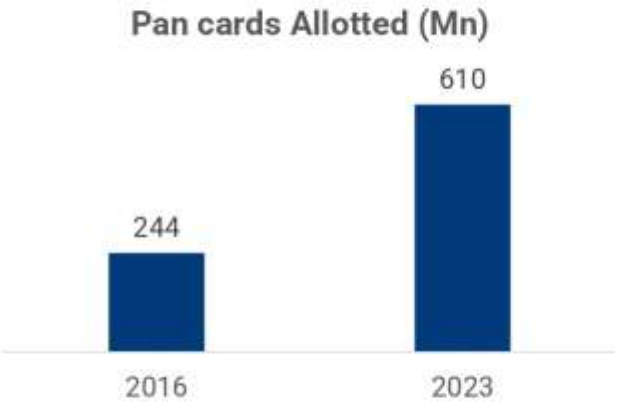
Source: Indus Valley report

# Formalisation of economy is underway

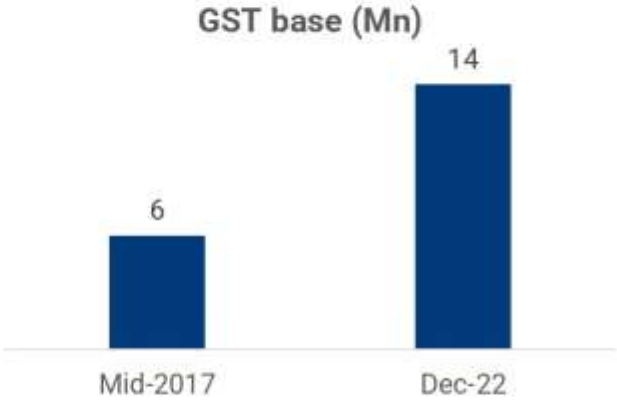
EDELWEISS MUTUAL FUND

**The base of direct and indirect tax payers has been growing;**

**GST has been a huge hit in expanding tax payer base; Listed businesses shall continue to gain share.**




The #active companies registered in India as of October '22 was 1.5Mn (1.2Mn as of July '17) - The additional ~12.5Mn are smaller businesses. Incremental companies added since '17 account for ~20% of the GST collections, and pay ₹1.13Lacs ($1.4K; FY22) about a fourth of what the existing 6m accounts pay.



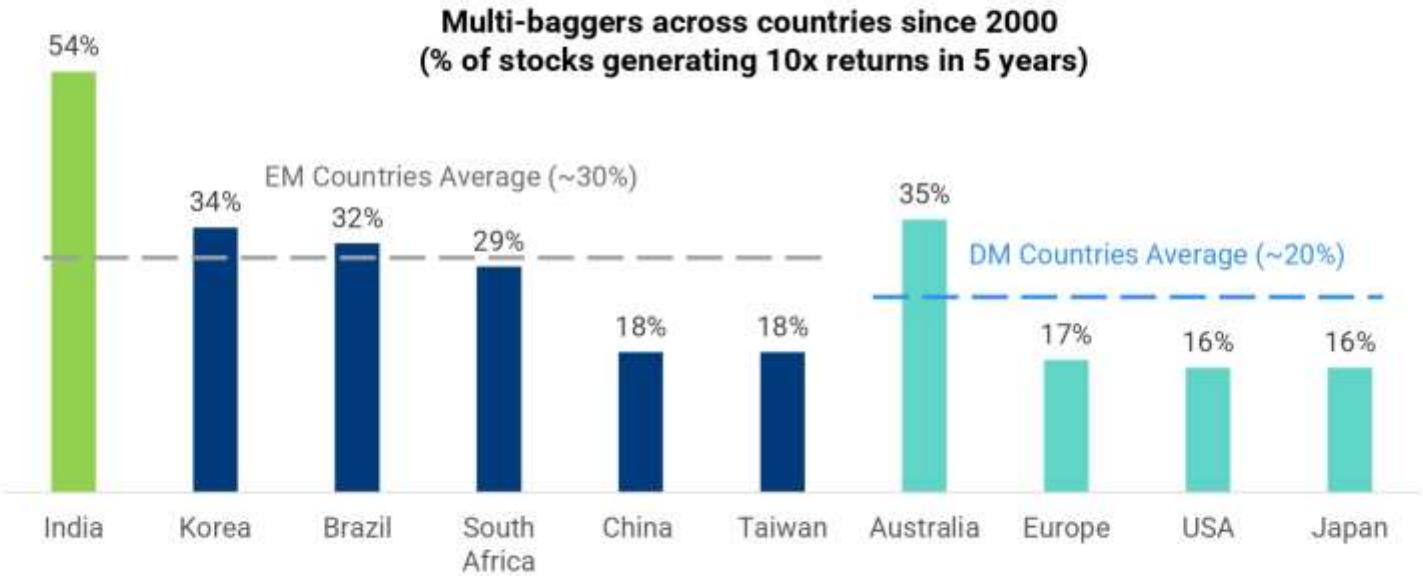

Data Source: Hindu, Livemint, ET

# FIIs – Recognizing India Strength

# India is the best market for multi-baggers

EDELWEISS MUTUAL FUND

**More than half (54%) of NSE 500 stocks have generated over 10x returns within a 5-year rolling period since 2000, the largest proportion of multi-baggers among 10 major markets globally.**




Data Source: Goldman Sachs Report. Key local Indices considered for this analysis: India – Nifty 500; Korea – KOSPI; Brazil – IBOV; South Africa – JALSH; China – MSCI China; Taiwan – TWSE; Australia – ASX 200; Europe – SXXP; USA – S&P500; Japan – TOPIX. Past performance may not sustain.

# India looks like China of 2007

EDELWEISS MUTUAL FUND

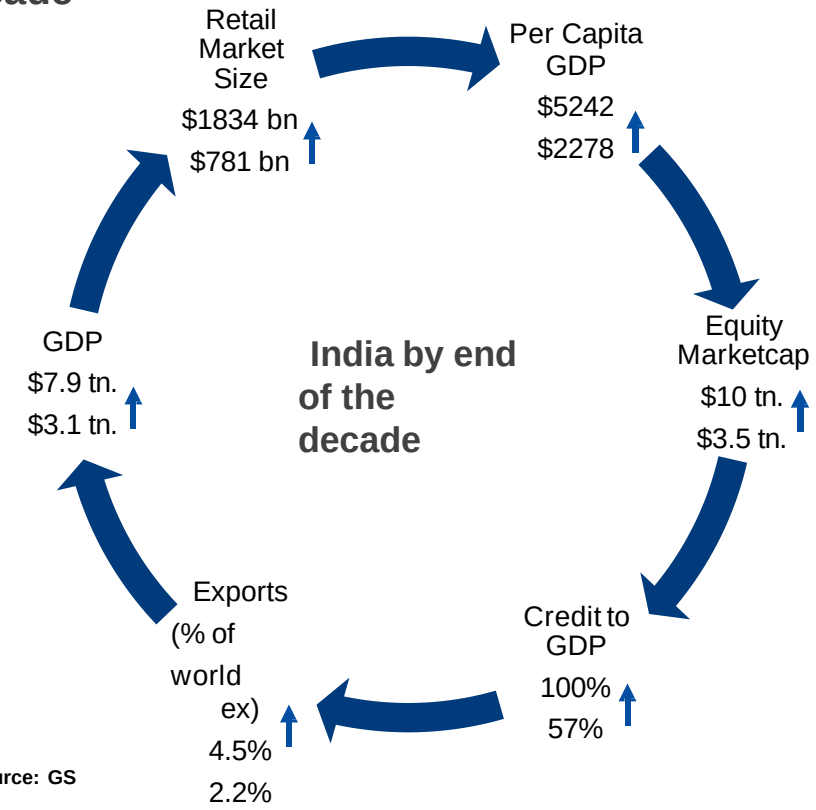
| China in 2007 | India in 2023 |
|---|---|
| Per Capita $2,691 | Per Capita $2,745 |
| Rising share in global exports | Rising share in EMS exports |
| Demographic Dividends | Median age 28.4 – 10 years younger to China |
| High Credit Growth | Credit growth at 15% |
| Low Labour cost | India's labour cost is now lower than China |

- China's growth since 2007 was on the back of a big rise in exports, low cost and demographic dividend.
- India is on the comparable ground today and can benefit similarly to China in coming years.

Source: World Economic Outlook. MACM Research

# India's Decade

**India to drive a fifth of global growth through the end of this decade**




**Growth lead by 4 pillars**

**Data Source: GS Report**

# 4 pillars propelling India's journey to $5tn

EDELWEISS MUTUAL FUND

**Consumption**

- 140 Mn households to be added to India's middle class by 2030 which would drive spends.
- 56% Urbanization by 2030 will lead to better consumption prospects.

**Infra Investments**

- 8-9% infra spends as a % of GDP would enable $ 5 Trillion economy.
- 70% National Infra Pipeline targets to be achieved by 2025.

**Corporate Capex**

- 2/3rd of companies saw debt reduce in 2021, best placed to drive capex.
- Rs.3.5-4 Trillion capex to be invested via the PLI scheme in the next 3-4 yrs.

**Innovation**

- 80% transactions to be digital by 2030 – Digital India.
- 100+ Unicorn with a total valuation of $ 340 billion

Source: World Bank Data

# Market expects sharp rate cuts by US in CY-24

EDELWEISS MUTUAL FUND

- Equities and other assets get re-priced when US rates fall.
- Equities, especially, outperform.

Source: Bloomberg

# Flows

EDELWEISS MUTUAL FUND

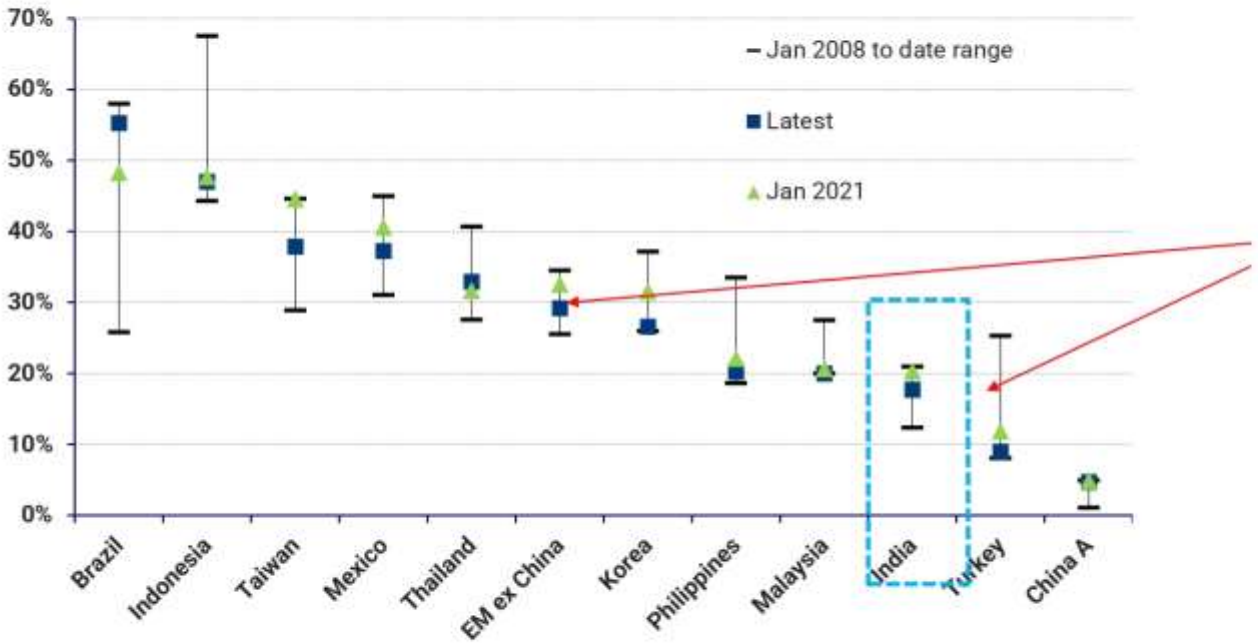
## FII flows have turned positive since March. June inflows were highest in recent months

| CY | FII-Cash (USD Mn.) | DIIs (USD Mn.) | MFs(subset of DIIs) |
|---|---|---|---|
| 2015 | 3,274 | 10,313 | 10,872 |
| 2016 | 2,903 | 5,425 | 6,976 |
| 2017 | 8,014 | 14,043 | 18,322 |
| 2018 | -4,557 | 15,896 | 17,365 |
| 2019 | 14,234 | 5,971 | 7,509 |
| 2020 | 23,373 | -4,910 | -6,989 |
| 2021 | 3,761 | 13,034 | 10,611 |
| 2022 | -17,016 | 35,771 | 23,953 |
| **2023 YTD** | **3,984** | **10,025** | **5,987** |
| Jan 23 | -3,660 | 4,093 | 2,617 |
| Feb 23 | -639 | 2,329 | 567 |
| Mar 23 | 1,816 | 3,710 | 2,522 |
| Apr 23 | 1,923 | 270 | -555 |
| May 23 | 5,008 | -406 | 293 |
| Jun 23 | 6,717 | 540 | 688 |

Source: Bloomberg and Kotak Institutional Equities. Data in USD Mn.

# India still under-owned by FIIs

EDELWEISS MUTUAL FUND

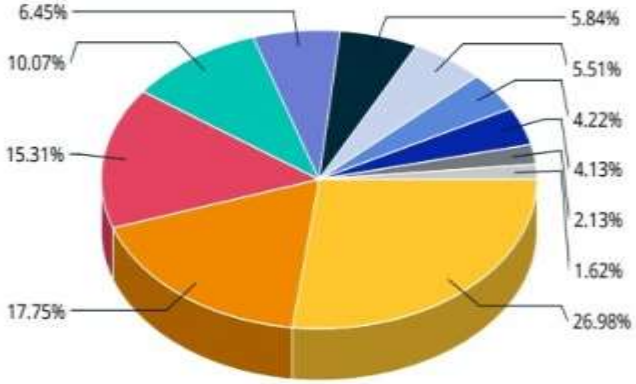



**FII ownership in India is below EM average.**

**This opens up a huge opportunity in the coming decade for FII inflows**

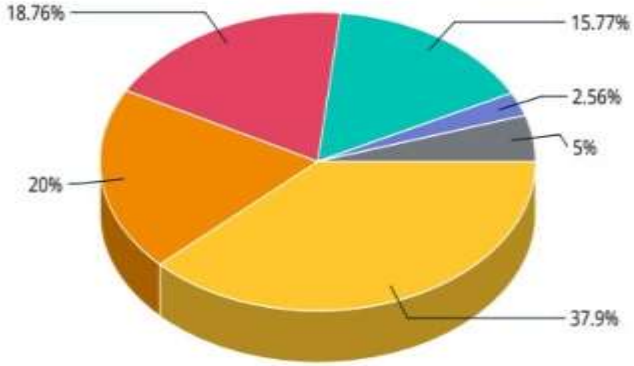
Source: CLSA, MSCI, NSE

## SECTOR WEIGHTS




Information Technology 26.98% Financials 17.75% Consumer Discretionary 15.31%
Communication Services 10.07% Industrials 6.45% Materials 5.84%
Consumer Staples 5.51% Health Care 4.22% Energy 4.13% Utilities 2.13%
Real Estate 1.62%

## COUNTRY WEIGHTS

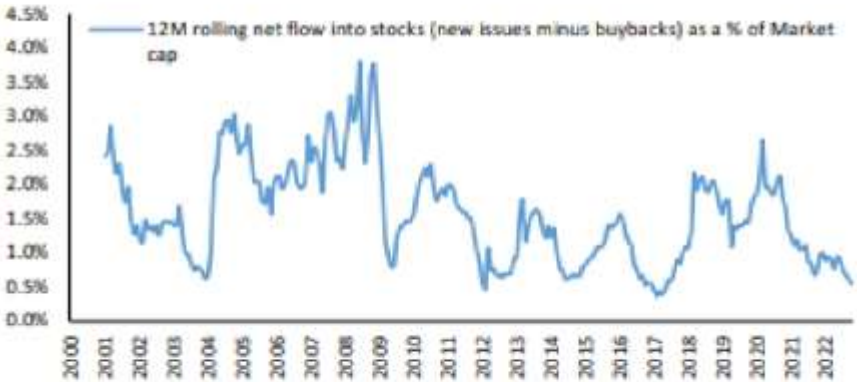



China 37.9% Taiwan 20% India 18.76% South Korea 15.77%
Indonesia 2.56% Other 5%

# Flows into equities likely to improve

## India's corporate profit cycle is likely to stay strong...

## ...which shall pull FPIs into Indian equities back




Source: Morgan Stanley Research

# 2024 Elections -Whether BJP will return to power or not

# Elections & Other Events turns out to be temporary & short lived

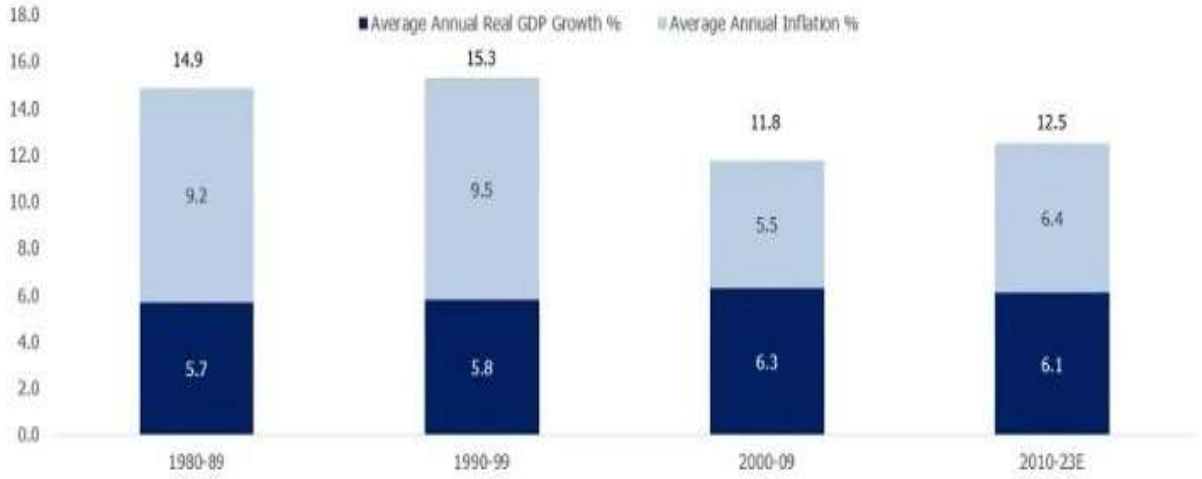
| Date | Nifty Levels | | Correction & Recovery | Correction & Recovery | HDFC Top 100 Fund | Correction & Recovery in% | Units/1000000 Lakh | | Franklin Prima Fund | Correction & Recovery | Units/1000000 Lakh | | Nippon India Growth Fund | Correction & Recovery in% | Units/1000000 Lakh | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 09/01/2004 | 1971 | High | | | 43.50 | | 22991.14841 | 1000000 | 81.3 | | 12306.2 | 1000000 | 79.8 | | 12529.76 | 1000000 |
| 17/06/2004 | 1488.75 | Low | -30% | -139 | 32.09 | -24% | 22991.14841 | 758501 | 64.5 | -21% | 12306.2 | 799979 | 66.5 | -17% | 12529.76 | 833770 |
| 30/11/2004 | 1958.6 | Recovery | 41% | 197 | 46.92 | 42% | 22991.14841 | 1078745 | 97.2 | 51% | 12306.2 | 1196530 | 99.1 | 49% | 12529.76 | 1241198 |
| | | | | | | | | | | | | | | | | |
| 05/10/2005 | 2644 | High | | | 71.10 | | 22991.14841 | 1634602 | 162.8 | | 12306.2 | 2003815 | 179.3 | | 12529.76 | 2246586 |
| 31/10/2005 | 2370 | Low | -10% | -28 | 66.01 | -7% | 22991.14841 | 1517946 | 149.4 | -8% | 12306.2 | 1838543 | 157.1 | -12% | 12529.76 | 1971307 |
| 06/12/2005 | 2662.2 | Recovery | 12% | 36 | 74.69 | 13% | 22991.14841 | 1717255 | 209.3 | 40% | 12306.2 | 2576200 | 176.4 | 12% | 12529.76 | 2210625 |
| | | | | | | | | | | | | | | | | |
| 10/05/2006 | 3754 | High | | | 52.42 | | 22991.14841 | 1205196 | 211.5 | | 12306.2 | 2602634 | 259.8 | | 12529.76 | 3255732 |
| 11/08/2006 | 2667 | Low | -29% | -34 | 35.43 | -32% | 22991.14841 | 1214284 | 144.5 | -32% | 12306.2 | 1778366 | 175.3 | -32% | 12529.76 | 2199434 |
| 27/10/2006 | 3739 | Recovery | 40% | 136 | 104.08 | 88% | 22991.14841 | 2392896 | 190.5 | 32% | 12306.2 | 2344204 | 248.2 | 41% | 12529.76 | 3110137 |
| | | | | | | | | | | | | | | | | |
| 07/02/2007 | 4224 | High | | | 114.81 | | 22991.14841 | 2639706 | 219.1 | | 12306.2 | 2695791 | 283.2 | | 12529.76 | 3548302 |
| 05/03/2007 | 3576 | Low | -15% | -26 | 97.34 | -15% | 22991.14841 | 2237799 | 183.8 | -16% | 12306.2 | 2259845 | 240.3 | -15% | 12529.76 | 3013418 |
| 25/06/2007 | 4259 | Recovery | 19% | 112 | 119.25 | 22% | 22991.14841 | 2741579 | 222.9 | 21% | 12306.2 | 2743462 | 303.4 | 22% | 12529.76 | 3801403 |
| | | | | | | | | | | | | | | | | |
| **07/01/2008** | 6279 | High | | | 173.74 | | 22991.14841 | **3994413.2** | 321.5 | | 12306.2 | **3956226.9** | 489.9 | | 12529.76 | **6138579.1** |
| 27/10/2008 | 2524 | Low | -60% | -294 | 69.91 | -62% | 22991.14841 | 1615229 | 107.8 | -66% | 12306.2 | 1326727 | 197.8 | -60% | 12529.76 | 2478139 |
| 08/11/2010 | 6273 | Recovery | 149% | 742 | 235.34 | 183% | 22991.14841 | 5410783 | 316.2 | 193% | 12306.2 | 3890870 | 547.7 | 177% | 12529.76 | 6862924 |
| | | | | | | | | | | | | | | | | |
| 08/11/2010 | 6273 | High | | | 235.34 | | 22991.14841 | 5410783 | 316.2 | | 12306.2 | 3890870 | 547.7 | | 12529.76 | 6862924 |
| 30/12/2011 | 4944 | Low | -28% | -407 | 166.09 | -29% | 22991.14841 | 3817306 | 224.7 | -29% | 12306.2 | 2765185 | 356.7 | -35% | 12529.76 | 4469615 |
| 05/03/2014 | 6328 | Recovery | 39% | 806 | 235.01 | 40% | 22991.14841 | **5403103.8** | 361.5 | 61% | 12306.2 | **4448746.0** | 481.8 | 35% | 12529.76 | **6037338.7** |
| | | | | | | | | | | | | | | | | |
| 05/03/2015 | 8937 | High | | | 358.76 | | 22991.14841 | 8248327 | 683.4 | | 12306.2 | 8409519 | 833.1 | | 12529.76 | 10438599 |
| 26/02/2016 | 7029 | Low | -21% | -358 | 270.38 | -25% | 22991.14841 | 6216899 | 586.6 | -14% | 12306.2 | 7219980 | 667.7 | -20% | 12529.76 | 8366658 |
| 17/04/2017 | 9139 | Recovery | 30% | 416 | 403.90 | 49% | 22991.14841 | 9286079 | 877.3 | 49% | 12306.2 | 10795943 | 971.1 | 45% | 12529.76 | 12167826 |
| | | | | | | | | | | | | | | | | |
| 29/08/2017 | 11691 | High | | | 427.24 | | 22991.14841 | 9822738 | 894.3 | | 12306.2 | 11005730 | 1049.1 | | 12529.76 | 13145151 |
| 26/10/2018 | 10030 | Low | -14% | -431 | 428.19 | 0% | 22991.14841 | 9844465 | 855.9 | -4% | 12306.2 | 10537503 | 980.7 | -7% | 12529.76 | 12287386 |
| 26/04/2019 | 11754 | Recovery | 17% | 182 | 502.47 | 17% | 22991.14841 | 11552293 | 952.9 | 11% | 12306.2 | 11726457 | 1114.8 | 14% | 12529.76 | 13967663 |
| | | | | | | | | | | | | | | | | |
| 17/01/2020 | 12352 | High | | | 503.84 | | 22991.14841 | 11583791 | 1001.1 | | 12306.2 | 12319605 | 1202.2 | | 12529.76 | 15063817 |
| 23/03/2020 | 7610 | Low | -38% | -86 | 307.24 | -39% | 22991.14841 | 7061892 | 646.1 | -35% | 12306.2 | 7950709 | 806.6 | -33% | 12529.76 | 10079988 |
| 09/11/2020 | 12461 | Recovery | 64% | 231 | 466.24 | 52% | 22991.14841 | 10719485 | 998.5 | 55% | 12306.2 | 12287379 | 1220.0 | 52% | 12529.76 | 15286192 |
| | | | | | | | | | | | | | | | | |
| 18/10/2021 | 18477 | High | | | 730.50 | | 22991.14841 | 16795080 | 1635.6 | | 12306.2 | 20127805 | 2190.5 | | 12529.76 | 27446801 |
| 24/06/2022 | 15600 | Low | -16% | -249 | 641.45 | -14% | 22991.14841 | 14747557 | 1280.5 | -22% | 12306.2 | 15757843 | 1847.5218 | -19% | 12529.76 | 23149629 |
| 20/07/2023 | 19979 | Recovery | 28% | 391 | 850.44 | 33% | 22991.14841 | **19552592** | 1737.5 | 36% | 12306.1777 | **21382107** | 2534.32 | 37% | 12529.76 | **31754417** |
| *CAGR Returns Since 2004 till July 2023 | | | | | | | | 17.62% | | | | 18.23% | | | | 21.0% |

# Why invest during bad times?

| | | | | |
|---|---|---|---|---|
| 20,870 Sensex 09-Jan-08 | -61% → | 8,160 Sensex 09-Mar-09 | 157% → | 21,005 Sensex 05-Nov-10 |
| 29,449 Sensex 05-Mar-15 | -22% → | 22,952 Sensex 11-Feb-16 | 58% → | 36,283 Sensex 29-Jan-18 |
| 41,566 Sensex 12-Feb-20 | -37% → | 25,981 Sensex 23-Mar-20 | 100% → | 52,154 Sensex 15-Feb-21 |
| 61,765 Sensex 18-Oct-21 | -17% → | 51,360 Sensex 17-Jun-22 | 16% → | ??? |

Past performances may or may not be sustained in future.

# Indian Economy - Indian economy has grown steadily despite several challenges




| 1980-89 | 1990-99 | 2000-09 | 2010-23E |
|---|---|---|---|
| Operation Blue Star | Global Oil Crisis - Gulf War | Violence in Gujarat post Godhra | Coal, NIMO etc. scandals |
| Rajiv Gandhi Government | BoP Crisis, Reforms commence | 9/11 , Dotcom Bubble bust | QE Tapering, PIGS, Greece |
| Birth of IT Industry | Asian Crisis, Era of coalitions | Growth of Indian Generics Cos. | High FD & CAD, high inflation |
| Rise of BJP in Indian Politics | 1st BJP govt., Kargil Conflict | 10 year Congress rule | BJP Government elected twice |
| Advent of TV, Maruti Car | Growth of IT, Satellite TV, Mobiles | Lehmann Crisis, QE | Demonetisation, GST, Make in India |
| | | | Covid-19 |
| | | | Russia-Ukraine war |

Source : IMF Data, Estimates are IMF estimates;



Refer disclaimers on slide 25

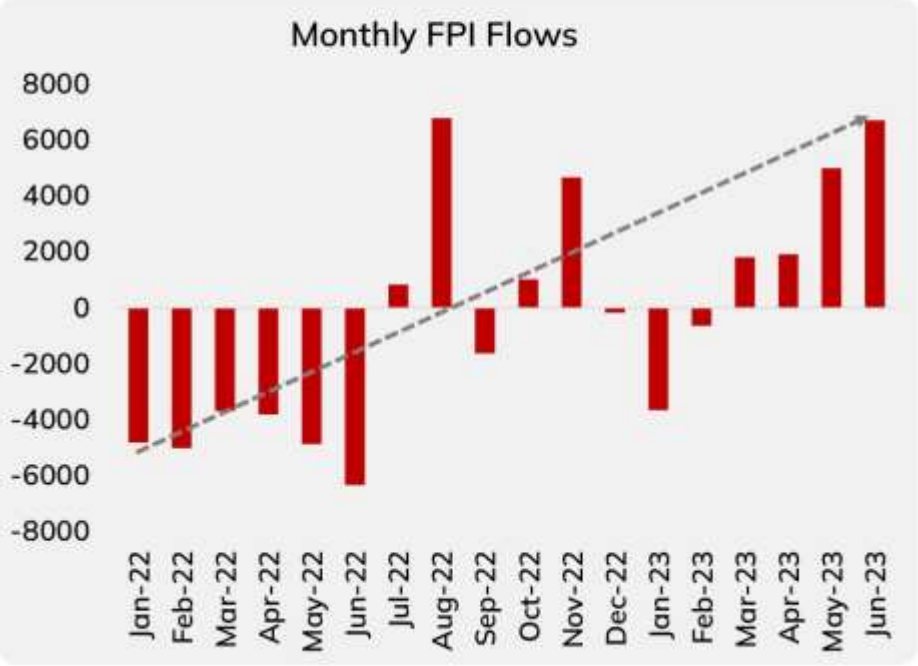
# Domestic Inflows – Acting as Pillar of Strength to Indian Economy

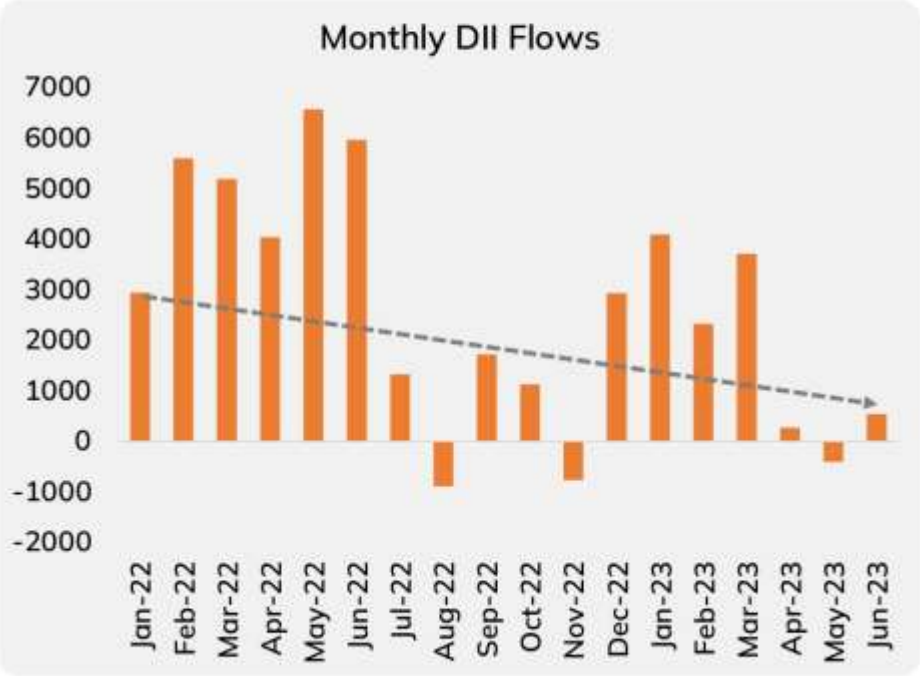
# Domestic Mutual Fund strong SIP Support

# Boom Phase: Reflection of Positive Sentiments

ICICI PRUDENTIAL MUTUAL FUND

**Flows in Indian Equity Markets remain robust. Reversal in trend of FPI Flows after massive selling in CY-22 can be seen. DIIs too, continue to buy although at a lower pace**




Data as on June 30,2023. Data Source: NSDL and Kotak Research, FPI: Foreign Portfolio Investment, DII: Domestic Institutional Investment, CY: Calendar Year

# FII & DII Inflow / Outflow Analysis

| Nifty Range | Month | Event | FIIs Buy / Sell | Month | DIIs Buy / Sell |
|---|---|---|---|---|---|
| 18086 - 17662.15 | Jan-23 | Adani Hindenburg Report Saga | -41464.73 | Jan-23 | 33411.85 |
| 17616 - 17303.95 | Feb-23 | Silicon Valley Bank Collapse Event | -11090.64 | Feb-23 | 19239.28 |
| 16989 - 17359.75 | Mar-23 | Silicon Valley Bank Collapse Event | 1997.7 | Mar-23 | 30548.77 |
| 17359 - 18065 | Apr-23 | Starting Annual Corporate Results & Profitability Turn Around | 5711.8 | Apr-23 | 2216.57 |
| 18147- 18534.4 | May-23 | Corporate Profitability Turn Around fo majority Nifty Stocks | 27856.48 | May-23 | -3306.35 |
| 18487- 19189.05 | Jun-23 | and Nifty 500 companies | 27250.01 | Jun-23 | 4458.23 |
| 19322 - 19749.25 | Jul-23 | Starting of Q1 Corporate Results & Profitability Turn Around | 16771.47 | Jul-23 | -9382.69 |
| | | Total Investment till date | 27032.09 | | 77185.66 |

- **Performance Report of Mutual Funds Vs Index**

# Midcap funds Performance vs Index

| | 28-Oct-21 | 12.Dec.22 | 12.July.23 | Change in % 28-oct-2021 to 12.july.2023 | Change in % 12-Dec-2022 to 12.july.2023 |
|---|---|---|---|---|---|
| **Nifty Index** | **18190** | **18497** | **19384** | **6.56%** | **5%** |
| **NIFTY MID CAP** | **30514** | **32490** | **36408** | **19.32%** | **12%** |
| PGIM India Midcap Opportunities Fund | 42.74 | 45.34 | 47.04 | 10.06% | 4% |
| Edelweiss Mid Cap Fund | 50.72 | 53.8 | 58.94 | 16.21% | 10% |
| DSP Mid Cap Fund | 87.45 | 88.82 | 95.08 | 8.72% | 7% |
| HDFC Mid Cap Opportunities Fund | 99.34 | 104.07 | 121.011 | 21.81% | 16% |
| ICICI Pru Mid Cap Fund | 167.24 | 172.24 | 180.51 | 7.93% | 5% |
| Invesco India Mid Cap Fund | 87.89 | 91.64 | 101.45 | 15.43% | 11% |

# Smallcap Funds Performance vs Index

| | 28-Oct-21 | 12.Dec.22 | 12.July.23 | Change in % 28-oct-2021 to 12.july.2023 | Change in % 12-Dec-2022 to 12.july.2023 |
|---|---|---|---|---|---|
| **NSE NIFTY SML100** | **10817** | **10024** | **11278** | **4.26%** | **12.5%** |
| Nippon India Small Cap Fund | 80.72 | 95.41 | 111.26 | 37.83% | 16.6% |
| SBI Small Cap Fund | 102.85 | 117.03 | 124.94 | 21.48% | 6.8% |
| DSP Small Cap Fund | 112.32 | 114.85 | 132.3 | 17.79% | 15.2% |
| Franklin India Smaller Companies Fund | 93.99 | 97.77 | 114.84 | 22.18% | 17.5% |
| HDFC Small Cap Fund | 76.62 | 80.93 | 95.91 | 25.18% | 18.5% |
| Quant Small Cap Fund | 135.55 | 144.12 | 163.1 | 20.32% | 13.2% |
| Sundaram Smalll Cap Fund | 150.55 | 151.52 | 174.44 | 15.87% | 15.1% |
| ICICI Pru Small Cap fund | 54.29 | 55.02 | 63.11 | 16.25% | 14.7% |

# NAV Performance vs Index

| | 28-Oct-21 | 12.Dec.22 | 12.July.23 | Change in % 28-oct-2021 to 12.july.2023 | Change in % 12-Dec-2022 to 12.july.2023 |
|---|---|---|---|---|---|
| **NSE FOCUSED TOP 100** | **18027** | **18690** | **19293** | **7.02%** | **3%** |
| Nippon India Focused Equity fund | 78.96 | 84.4 | 87.06 | 10.26% | 3% |
| Franklin India Focused Equity Fund | 70.5 | 73.08 | 76.78 | 8.91% | 5% |
| SBI Focused Equity Fund | 245.9 | 234.05 | 251.51 | 2.28% | 7% |
| Bandhan Focused Equity Fund | 52.78 | 53.61 | 59.15 | 12.07% | 10% |
| Mirae Asset Focused Equity Fund | 18.54 | 19.18 | 20.005 | 7.90% | 4% |
| Invesco India Focused 20 Equity Fund | 15.09 | 15.37 | 16.08 | 6.56% | 5% |
| ICICI Pru Focused Equity Fund | 51.66 | 53.19 | 57.98 | 12.23% | 9% |
| Edelweiss Focused Equity Fund | 10.35 | 10.63 | 11.52 | 11.30% | 8% |

# Value Funds Performance vs Index

| | 28-Oct-21 | 12.Dec.22 | 12.July.23 | Change in % 28-oct-2021 to 12.july.2023 | Change in % 12-Dec-2022 to 12.july.2023 |
|---|---|---|---|---|---|
| **NSE Value 20 Fund Index** | **8857** | **9286** | **9941** | **12.24%** | **7%** |
| HSBC Value Fund | 58.39 | 61.99 | 68.31 | 16.99% | 10% |
| Bandhan Sterling Value Fund (G) | 85.69 | 94.82 | 105.78 | 23.44% | 12% |
| IDFC Emerging Businesses Fund | 22.49 | 21.7 | 24.76 | 10.09% | 14% |
| HDFC Capital Builder Value Fund | 448.6 | 464.9 | 490.42 | 9.32% | 5% |
| Templeton India Value Fund | 445.19 | 464.24 | 497.29 | 11.70% | 7% |
| ICICI Pru Value Discovery Fund | 269.34 | 280.2 | 306.03 | 13.62% | 9% |
| Aditya Birla SL Pure Value Fund | 72.69 | 75.8 | 83.84 | 15.34% | 11% |

# Small n Midcap is catching up with Nifty 50 since 2018 till date

# Reflection of the past is seen in present circumstances

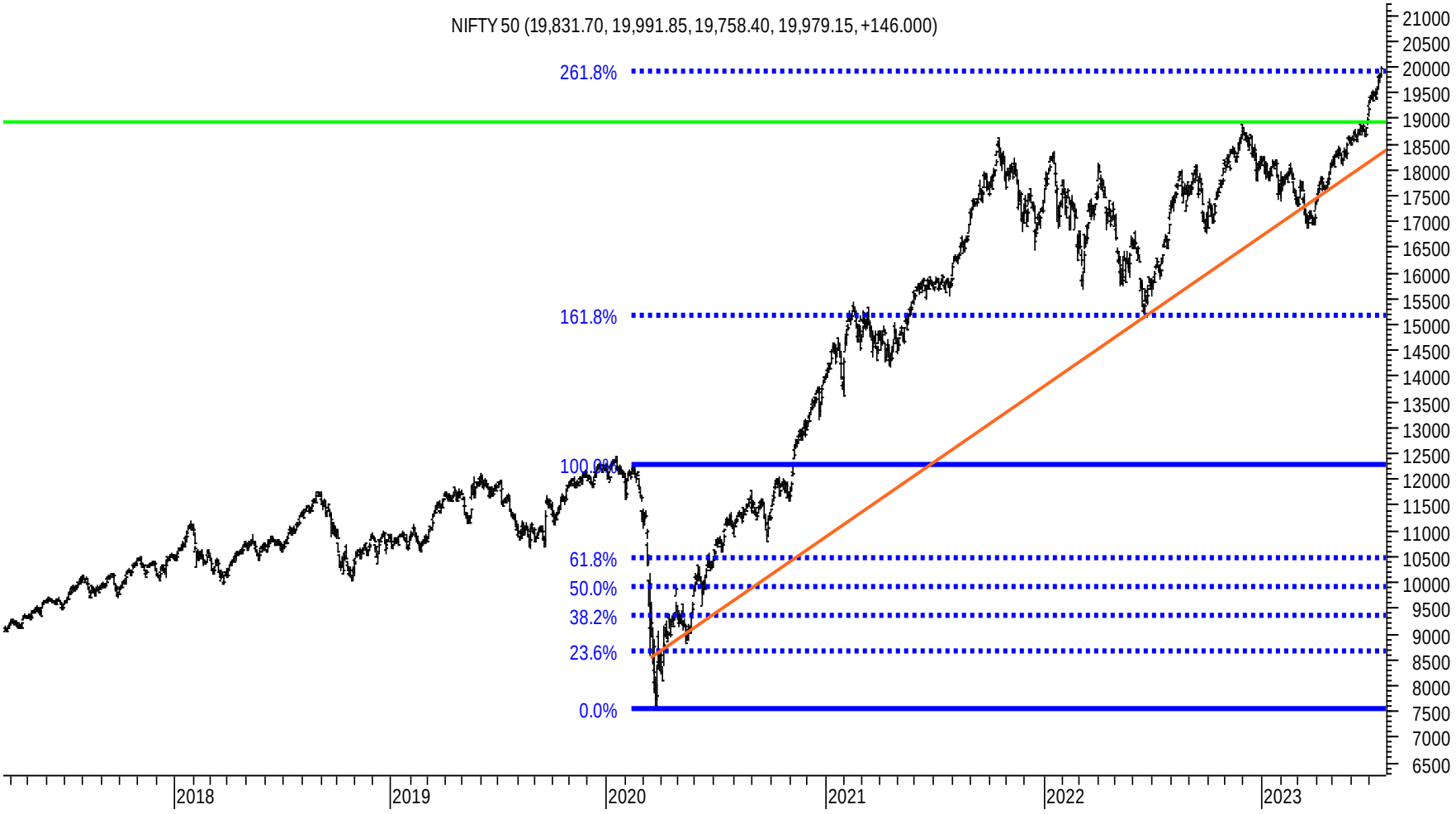
| MACRO INDICATORS | 2000-2008 | 2022 & beyond |
|---|---|---|
| INFLATION | Increasing (4.01%-8.35%) | Increasing (5.7-6.75%) |
| GDP GROWTH RATE | Increasing (3.80%-7.70%) | High (6.6%) |
| IIP INDEX | Increasing (6.70%-11.50%) | 11.5% |
| FISCAL DEFICIT | Declining (5.18%-3.32%) | Increasing (3.3%- 4.90%) |
| EXCHANGE RATE | Rs 44.94-41.35 | Rs 76.49 -83.5 |
| CRUDE OIL PRICES | Increasing ($30.38-$72.34) | $128- $74 |
| GOLD PRICE | Increasing (4400-10800) | 47500-56180 ( Currently) |
| UNEMPLOYMENT | Moderate | Moderate |
| LENDING RATE | Increasing (12.29%-13.02%) | 16-17% |
| GFCF | Increasing (26%-36%) | 1.5% & 18% ( Increasing) |
| CURRENT ACCOUNT DEFICIT | High | Moderate |
| DISPOSABLE INCOME | High | Increasing |
| FOREX RESERVE | High ($38.04B- $199.18B) | $597.72B &___ |
| BOND YIELD | 10.8% to 7.79% | 7.35% &____ |
| FD RATE | Increasing (6% to 7.5%) | 5.25% -7.5% |
| SENSEX | 3970-20286 | 54800&____ |

# Nifty Returns/Movement on monthly Basis

| Year | Jan | Feb | Mar | Apr | May | Jun | Jul | Aug | Sep | Oct | Nov | Dec | Annual |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| 2000 | 4.44 | 7.02 | -7.64 | -7.98 | -1.86 | 6.59 | -9.42 | 4.6 | -8.78 | -7.78 | 8.13 | -0.36 | -14.65 |
| 2001 | 8.56 | -1.48 | -15.04 | -2 | 3.79 | -5.14 | -3.16 | -1.78 | -13.28 | 6.35 | 9.8 | -0.76 | -16.18 |
| 2002 | 1.54 | 6.2 | -1.09 | -3.99 | -5.14 | 2.82 | -9.35 | 5.39 | -4.7 | -1.22 | 10.38 | 4.13 | 3.25 |
| 2003 | -4.72 | 2.07 | -8.01 | -4.51 | 7.79 | 12.65 | 4.56 | 14.39 | 4.46 | 9.79 | 3.81 | 16.38 | 71.9 |
| 2004 | -3.72 | -0.52 | -1.58 | 1.37 | -17.4 | 1.48 | 8.42 | -0.03 | 6.97 | 2.37 | 9.62 | 6.21 | 10.68 |
| 2005 | -1.1 | 2.22 | -3.21 | -6.54 | 9.73 | 6.37 | 4.13 | 3.13 | 9.09 | -8.86 | 11.86 | 6.95 | 36.34 |
| 2006 | 5.8 | 2.45 | 10.66 | 4.56 | -13.68 | 1.86 | 0.48 | 8.61 | 5.11 | 4.34 | 5.62 | 0.3 | 39.83 |
| 2007 | 2.93 | -8.26 | 2.04 | 6.97 | 5.09 | 0.52 | 4.88 | -1.43 | 12.49 | 17.51 | -2.34 | 6.52 | 54.77 |
| 2008 | -16.31 | 1.67 | -9.36 | 9.11 | -5.73 | -17.03 | 7.24 | 0.62 | -10.06 | -26.41 | -4.52 | 7.41 | -51.79 |
| 2009 | -2.85 | -3.87 | 9.31 | 15 | 28.07 | -3.55 | 8.05 | 0.55 | 9.05 | -7.32 | 6.81 | 3.35 | 75.76 |
| 2010 | -6.13 | 0.82 | 6.64 | 0.55 | -3.63 | 4.45 | 1.04 | 0.65 | 11.62 | -0.2 | -2.58 | 4.64 | 17.95 |
| 2011 | -10.25 | -3.14 | 9.38 | -1.44 | -3.29 | 1.57 | -2.93 | -8.77 | -1.15 | 7.76 | -9.28 | -4.3 | -24.62 |
| 2012 | 12.43 | 3.58 | -1.66 | -0.9 | -6.17 | 7.2 | -0.95 | 0.56 | 8.46 | -1.47 | 4.63 | 0.43 | 27.7 |
| 2013 | 2.2 | -5.66 | -0.18 | 4.36 | 0.94 | -2.4 | -1.72 | -4.71 | 4.82 | 9.83 | -1.95 | 2.07 | 6.76 |
| 2014 | -3.4 | 3.08 | 6.81 | -0.12 | 7.97 | 5.28 | 1.44 | 3.02 | 0.13 | 4.49 | 3.2 | -3.56 | 31.39 |
| 2015 | 6.35 | 1.06 | -4.62 | -3.65 | 3.08 | -0.77 | 1.96 | -6.58 | -0.28 | 1.47 | -1.62 | 0.14 | -4.06 |
| 2016 | -4.82 | -7.62 | 10.75 | 1.44 | 3.95 | 1.56 | 4.23 | 1.71 | -1.99 | 0.17 | -4.65 | -0.47 | 3.01 |
| 2017 | 4.59 | 3.72 | 3.31 | 1.42 | 3.41 | -1.04 | 5.84 | -1.58 | -1.3 | 5.59 | -1.05 | 2.97 | 28.65 |
| 2018 | 4.72 | -4.85 | -3.61 | 6.19 | -0.03 | -0.2 | 5.99 | 2.85 | -6.42 | -4.98 | 4.72 | -0.13 | 3.15 |
| 2019 | -0.29 | -0.36 | 7.7 | 1.07 | 1.49 | -1.12 | -5.69 | -0.85 | 4.09 | 3.51 | 1.5 | 0.93 | 12.02 |
| 2020 | -1.7 | -6.36 | -23.25 | 14.68 | -2.84 | 7.53 | 7.49 | 2.84 | 1.22 | 3.51 | 11.39 | 7.81 | 14.17 |
| 2021 | -2.48 | 6.56 | 1.11 | -0.41 | 6.5 | 0.89 | 0.26 | 8.69 | 2.77 | 0.37 | -3.89 | 2.18 | 24.12 |
| 2022 | -0.09 | -3.46 | 4.33 | -2.07 | -3.03 | -4.85 | 8.73 | 3.5 | -3.75 | 5.37 | 4.14 | -3.48 | 4.32 |
| 2023 | -2.45 | -2.03 | 0.32 | 4.06 | 2.6 | 3.53 | | | | | | | |

# Technical n Fundamental View & Way Forward

Short Term - Technically Nifty should correct from here should re-test its last peak i.e 18600-18900 Levels ( Every Dip to be bought) before resuming its uptrend journey for 23500 levels



# Nifty Possible Target by 2026-27 seen at 26k -31K & currently Nifty has strong support at 16950 -17250 levels

# Nifty EPS Estimates and Expected movement Range 2023-2026

| Year | 2014 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 | 2026 | Valuation Zone |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| EPS NIFTY | 355 | 369 | 406 | 414 | 427 | 457 | 498 | 582 | 704 | 810 | 907 | 1016 | 1118 | |
| Corp. Avg Earnings | | 4.00% | 10.00% | 2.00% | 3.00% | 7.00% | 9.00% | 17.00% | 21.00% | 15.00% | 12.00% | 12.00% | 10.00% | |
| 10 P/E | 10 | 3692 | 4061 | 4142 | 4267 | 4565 | 4976 | 5822 | 7045 | 8102 | 9074 | 10163 | 11179 | Attractive / Buying Zone |
| 12 P/E | 12 | 4430 | 4873 | 4971 | 5120 | 5478 | 5971 | 6987 | 8454 | 9722 | 10889 | 12195 | 13415 | Attractive / Buying Zone |
| 14 P/E | 14 | 5169 | 5686 | 5799 | 5973 | 6392 | 6967 | 8151 | 9863 | 11342 | 12703 | 14228 | 15650 | Attractive / Buying Zone |
| 18 P/E | 18 | 6646 | 7310 | 7456 | 7680 | 8218 | 8957 | 10480 | 12681 | 14583 | 16333 | 18293 | 20122 | Attractive / Buying Zone |
| 20 P/E | 20 | 7384 | 8122 | 8285 | 8533 | 9131 | 9952 | 11644 | 14090 | 16203 | 18148 | 20325 | 22358 | Attractive / Buying Zone |
| 22 P/E | 22 | 8122 | 8935 | 9113 | 9387 | 10044 | 10948 | 12809 | 15499 | 17824 | 19962 | 22358 | 24594 | Fair / Hold Zone |
| 25 P/E | 25 | 9230 | 10153 | 10356 | 10667 | 11413 | 12441 | 14556 | 17612 | 20254 | 22684 | 25407 | 27947 | Fair / Hold Zone |
| 27 P/E | 27 | 9968 | 10965 | 11185 | 11520 | 12326 | 13436 | 15720 | 19021 | 21874 | 24499 | 27439 | 30183 | Fair / Hold Zone |
| 30 P/E | 30 | 11076 | 12184 | 12427 | 12800 | 13696 | 14929 | 17467 | 21135 | 24305 | 27221 | 30488 | 33537 | Cautious / Sell Zone |
| 32 P/E | 32 | 11814 | 12996 | 13256 | 13653 | 14609 | 15924 | 18631 | 22544 | 25925 | 29036 | 32520 | 35773 | Cautious / Sell Zone |
| 35 P/E | 35 | 12922 | 14214 | 14498 | 14933 | 15979 | 17417 | 20378 | 24657 | 28356 | 31758 | 35569 | 39126 | Cautious / Sell Zone |
| 40 P/E | 40 | 14768 | 16245 | 16570 | 17067 | 18261 | 19905 | 23289 | 28179 | 32406 | 36295 | 40651 | 44716 | Cautious / Sell Zone |

# FINAL SUMMARY

Inflation: World Inflation to start moderating going forward as Oil & Gas prices are getting stabilise But Wage inflation to remain high in most of the economies

Recession : Recession to have soft impact in USA but may have long impact in UK. India will not get into Recession but have to face challenges in export-oriented sectors like I.T , Pharma n textiles

Indian Market is at same inflection point of Bull Era of 2003-2008 where in similar instances happened like High Inflation+ High Oil Price+ High Interest Rate+ High Growth + Global uncertainties ( US Fed rate high due to rise in Inflation + Recession fear + Oil War etc)

Lastly Nifty forward PE ratio is at 18.5 times and EPS projections are indicating that currently market is neither expensive nor cheap and has high probability & potential to move up from current levels ( see slide chart no. 55)

# Thank you!

Feel free to reach out to us if you have any questions.

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